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Annual biofuel subsidies will hit \$60 billion in 2022 — Earth Track

Marlo Lewis, Jr. • 05/12/2009

CONSUMER FREEDOM Earth Track, assisted by researchers with Friends of the Earth, has produced a new study, [A Boon to Bad Biofuels](#), on the taxpayer cost of federal biofuel tax credits and mandates. The numbers are staggering.

In 2008, federal support for ethanol and biodiesel totalled more than \$9.5 billion. The subsidy system has two main components:

1. The Renewable Fuels Standard (RFS), which mandates increased blending of biofuels into the national motor fuel supply, [ramping up](#) from 9 billion gallons in 2008 to 36 billion in 2022.
2. Tax credits including the Volumetric Ethanol Excise Tax Credit (VEETC), which pays out \$0.45 for each gallon of corn ethanol; a parallel program for biodiesel worth \$1.00 per gallon; and a production tax credit that pays \$1.01 for each gallon of cellulosic ethanol produced.

“In their current form, these tax credits scale linearly with production, without limit,” notes Koplow. This means that the \$9.5 billion in subsidies in 2008 increases six-fold to \$60 billion in 2022, “due both to more production and to a shift to more heavily subsidized cellulosic fuels.” The cumulative cost from 2008 to 2022: \$420 billion, nearly 40% of which will go to the corn industry.

But wait, there may be more. As a candidate, Obama proposed to up the RFS to [60 billion gallons by 2030](#). If this proposal is adopted, “subsidies would top \$120 billion per year by the end of the period, for a cumulative subsidy during the 2008-2030 period of more than \$1 trillion.”

Kudos to Koplow and his colleagues at Friends of the Earth for this important contribution.

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By: **Nadav Sternheim, Ryan Hwang** • 07/22/2025

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By: **Ryan Hwang** • 06/24/2025

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